capabilities and partly to narrow the trade deficit. Furthermore, India is one of the top borrowers from the China-led Asian Infrastructure Investment Bank (AIIB).

Still, even though their economic relationship in some respects seems to work to China's advantage, India is not in any way economically dependent upon China. In the 2000–2017 period, China's foreign direct investment (FDI) in India accounted for only 0.5 percent of the total FDI inflows into India during this period. Furthermore, Japan and South Korea, formal alliance partners of the United States, both conduct larger trade with China than does India. In fact, while India's trade with China in 2017 amounted to 14.6 percent of India's total foreign trade, trade with China accounted for as much as 22.1 percent of Japan's and 23.2 percent of South Korea's total foreign trade. As indicated in our introduction, in a global economy with growing interdependence between most nations, India's current economic relationship with China reflects a normal situation between two countries.

India is working with China to address its trade deficit, but in November 2019, it pulled out of the Regional Comprehensive Economic Partnership (RCEP) negotiations due to concerns about putting its domestic industry and agriculture at risk, especially given that RCEP is not opening markets in similar ways for India's large services sector. India has also made clear its lack of enthusiasm for China's largest economic project, the Belt and Road Initiative. As pointed to by Stobdan and Engh in their respective chapters, India is in particular dissatisfied with the China–Pakistan Economic Corridor (CPEC), but it is also concerned about what Muni in his chapter refers to as China's "assertive economic push" into countries like Bangladesh, Nepal, and Sri Lanka. As a result, India has stepped up its own trade, investment, and development assistance programmes with its neighbouring countries, and rather than working with China in its neighbourhood, India is